UNIT 5: WHAT'S NEXT

TOPIC 4: PERSONAL FINANCE AND BUDGETING

Lesson 1: Why and How to Use a Bank

Topic OBJECTIVE: The learner will:

- Understand the benefits, procedures, and potential pitfalls of bank accounts

Topic OUTCOME: The learner will:

- Understand the types of bank accounts available to them and receive updated information on local banks

Topic ACTIVITIES:

Large Group Discussion

Objective: Students will learn about different aspects of opening and maintaining a bank account.
Time: 30 minutes
Materials: Handouts: "Fast Facts about Financial Services Fees" and "7 Signs of Smart Debit Card Use," chart paper/markers, pens/pencils

Why a bank? — Make a chart on the board or a piece of chart paper titled "Where Should I put my Money?" Write "Options" (choices) down the side, and "Advantages" (what is good about an item) across the top. Under "Advantages" write (at the top of columns) Convenient (easy to get), Safe/Insured, and Interest (money earned). Ask students to list some things that they think people do with money after they receive it (from a paycheck, gift, etc.), and write them down under options. Some suggestions they might say could be — spend it right away, hide it away at home, cash a check at a check-cashing business, or put it in a bank account. After each suggestion, ask students (if comfortable, or instructor if not) to put a check mark in whichever of the "Advantages" columns the method matches.

Suggest a bank account as probably the smartest and safest place to put money (examples: cash on your person or at home could get lost or stolen, spending it all leaves you broke, and a check-cashing store-front takes a big "cut" (percentage) out of your check with charges. Additionally, if money is in a bank, there is "interest" (money gained over time by having it in a bank account) being made, and therefore you are making your money "work" for you.

Opening an Account — Explain to students that as long as they have identification and cash or a check to deposit, bank accounts are relatively easy to open. Most banks expect a lot of questions from new customers, so please speak up when meeting someone at the bank to open an account — it is their job to help customers. Savings and checking accounts are the two main type of accounts — one that is just available for withdrawal in cash form, and one where you can withdraw cash and write checks (see next lesson for more on checking accounts.).

Fees — Tell students that although bank accounts are a secure and smart way to keep your money, a precaution when opening an account is to understand what fees are attached to it. Hand out "Fast Facts about Financial Services Fees," and ask students to circle the ones that pertain to savings accounts or saving/checking. Read over/explain them to the group, emphasizing that different banks have different fees, interest rates, etc. and therefore it is important to "do your research" on different banks.

Debit Cards — A debit card works like a credit card — using a card instead of cash — except, when you use a debit card, the purchase amount is deducted from your bank account, so you can only spend what money is there. Users decide on a PIN number (code) to type in when a debit card is being used. Inform the students that many stores, gas stations, restaurants, and other businesses will accept debit cards. Also, most banks let you use your debit card to get money from your account out of ATMs (Automated Teller Machines). Hand out the sheet "7 Signs of Smart Debit Card Use" and remind students that it is not foolproof against theft and fraud.

Technical (Mass CIS)/Research

Objectives:
- Students will know how to choose a bank, based on their needs.
- Students will learn that it is good to do "comparison shopping" to find the best deal or best match for the individual.

Time: 30 minutes

Materials: Handout: **"Local Banking Info,"** computers with internet connection, pens/pencils
Note: For this activity, it may be helpful for students to have another window open on the computer with a financial terms glossary in it — refer to **www.moneyandstuff.info/glossary.**

Ask students to log on to the internet and find the websites for two or three different local banks. For each bank, have the students fill in the chart **"Local Banking Info,"** (noting location, types of accounts for young people, fees, and interest rate). Then, have each young person decide which bank would work better for them. While on the sites, students can also learn about online banking, direct deposits of paychecks, and other features.

Fast Facts about Financial Services Fees

Types of Fees	Accounts They Affect	When They May Be Charged
Monthly service fees	Savings and checking accounts	If you don't meet certain qualifications, such as maintaining a monthly minimum balance or limiting the amount of checks you write
Withdrawal fees	Savings accounts	If you exceed a certain number of monthly withdrawals
ATM or debit fees	Savings and checking accounts accessed by a debit card	By your bank when you use an ATM machine. May be waived if you use your financial institution's own machines
Third-party ATM fees	Savings and checking accounts	If you use another bank's ATM, a charge assessed by that bank
Returned check fees	Savings accounts	If a check deposited into your account is returned for insufficient funds
Check fees	Checking accounts	When you purchase your own checks preprinted with your name and address
Insufficient funds or overdraft fees	Checking accounts	When you write a check but don't have enough money in your account to cover it
Stop payment fees	Checking accounts	When you ask your financial institution to stop a check drawn on your account from being cashed
Point-of-sale fees	Debit card accounts	When you use your debit card as a debit card at a store or gas station
Over-the-limit fees	Credit cards	If you go over your spending limit
Annual fees	Credit cards	Charged by some credit card companies for the yearly use of their credit cards

Adapted from NEFE High School Financial Planning Curriculum

7 Signs of Smart Debit Card Use

1. Memorizing and protecting your PIN (don't choose something obvious like your house address, phone number, or birthday) and not carrying it in your purse, wallet, or pocket. **Remember, theft of your PIN can wipe out your account and leave you with overdraft fees.**
2. Immediately recording purchases and withdrawals in your check register.
3. Signing the back of your card to make it harder for others to use.
4. Keeping receipts to check against your statement.
5. Using your institution's ATM machines to avoid fees.
6. Being aware of your surroundings when you use your debit card, especially at an ATM at night.
7. Immediately reporting lost or stolen cards.

Local Bank Information

NAME	LOCATION	ACCOUNTS	FEES	INTEREST
BANK 1:				
BANK 2:				
BANK 3:				

Lesson 2: Checking Accounts and Credit Cards

Topic OBJECTIVE: The learner will:

- Understand the procedures, advantages, and precautions of having a checking account and a credit card

Topic OUTCOMES: The learner will:

- Be able to correctly write a sample check, keep a register of checks written, and track deposits/withdrawals
- Compare various credit cards, and understand it is important to look for a plan that if a good match for their income and spending

Topic ACTIVITIES:

Large Group Discussion

Objectives:
- Students will explore how a checking account can be beneficial in managing money.
- Students will understand the negative consequences to mismanaging a checking account.
- Students will learn the basic benefits, responsibilities, and penalties that come with using a credit card.
- Students will understand and be able to calculate monthly interest fees.

Time: 25 minutes

Materials: Handouts: "Making A Promise with a Check" and "Fast Facts about Financial Service Fees" (handed out to students in previous lesson), "Credit Cards: Do the Math (1-3)" and "Credit Cards Expanded Info," pens/pencils, calculators/computers (with calculator function), chart paper/markers

Why have a checking account — Write "Cash," "Check," "Debit Card," and "Credit Card" on a piece of chart paper. Name some purchases and expenses, and ask students to name which column they should go under, i.e., which method is best to use to pay for them. Engage students in a discussion of how a checking account could be helpful to them as young adults — for example, safety of not carrying a lot of cash around, being able to write checks for bills and other financial transactions, and keeping track of their spending, which will be helpful when building a budget.

How checking works — Ask students to read the top portion of "Making A Promise with a Check" and answer any specific questions they may have. Remind them that checking accounts allow you to have a debit card, which is convenient for face-to-face transactions and allows one to get cash from an ATM.

Cautions — Explain not every business or person will accept checks, and often you are asked to show identification that must match the name on the check. Also, it is very important to keep track of balances and not "bounce" checks — banks may charge you, and whomever you were paying may charge you extra too. Some checking accounts charge a fee per check. Remind students it is important to keep track of money they withdraw at the ATM from their checking account as well. Ask students to refer to their "Fast Facts about Financial Service fees" handout. Have them circle the fees pertaining to Checking Accounts, and read them over as a class to clarify and answer questions.

Credit Cards — Ask students if they know people who have credit cards, and what they understand about them. Hand out "Credit Cards: Do the Math (1-3)" and brainstorm as a class the reasons why it would be good or bad to have a credit card. Have students read aloud the reasons on sheet two, and write down others they may have thought of as well. On sheet three, work through the math exercise together, using calculators/computers (with calculator if available), to reinforce the concept and reality of interest. If time allows, choose another bill amount/scenario or two (with different purchase and interest rates) and work with students to figure out a bill total based on those numbers.

Cautions — Explain that credit card policies can seem confusing/complicated, and it is important to understand as many terms and conditions as possible, in order to handle your money responsibly. Hand out "Credit Cards Expanded Info" sheets for students to take with them, in order to read about the credit process in more detail. Also, ask students to refer to their "Fast Facts about Financial Service Fees" handout. Have them circle the fees pertaining to Credit Cards, and read them over as a class to clarify and answer questions.

Writing/Calculations

Objective: Students will understand how to write a check, and calculate balances in a check register.

Time: 20 minutes

Materials: Handouts: **"Sample Blank Check," "Checkbook Register Exercise"** and **"Maintaining a Checking Account,"** calculators, pens/pencils

Explain to students that they will be practicing two things — writing a check and calculating a monetary balance in the check register. In order to help facilitate this, hand out calculators, use the calculator feature on the computers, or help students do the calculations themselves. Ask students to write four checks on their **"Sample Blank Check"** sheet using information from **"Checkbook Register Exercise."** Ask students to fill out the bottom section of the **"Maintaining a Checking Account"** handout to practice performing calculations.

Technical/Research

Objective: Students will research a variety of credit card offers online, and understand the differences between the offers.

Time: 15 minutes

Materials: Computers with internet connection, index cards with **Mass CIS** log-in passwords, pens/pencils, paper

Ask students to name credit card companies (Visa, MasterCard, Discover, American Express, etc.). Have students choose two or three companies to research online. Ask the class to write down features of the credit card plans, to assist them with selecting the offer that would be the best offer for them. Encourage them to look for what would be the credit limit, fees, and if there are special offers for young people.

Credit Cards: Do the Math — 1

Does this decision show what I value?

Does it help me reach a goal important to me?

Can I live with the consequence?

List the good and bad of credit cards:

GOOD:

BAD:

Discuss your answers and compare them to the reasons listed on Credit Cards: Do the Math.



Adapted from Merging Two Worlds, 2003

Good and Bad

Good:

Convenience

Using a credit card builds your credit history

In some case, you must have a credit card to:

"Hold" a reservation

Rent a car

Book airline reservations

Bad:

Interest charges
Late charges
Penalty for exceeding credit limit
Fee for cash advance
Annual fee

Adapted from Merging Two Worlds, 2003

Credit Cards: Do the Math — 3

On January 1st, you charge $305.00 for stereo equipment. Your credit card charges 17% interest on the unpaid balance.*

What do you think your unpaid balance will be on the first bill after the grace period?

Do the math:
$305.00 x .17 (17%) = $51.85...

Your new unpaid balance is $305.00 + $51.85 = $356.85 **Month #1, you owe $356.85**

Let's say your minimum payment is $35.00. To get the bill under $305.00, you decide to pay $56.85 ($356.85 – $56.85 = $300.00).

Do the math:
$300.00 x .17 (don't forget that 17%) = $51.00
Your new unpaid balance isn't $300.00, but $351.00

Month #2, you owe $351.00

Some cards may be a better deal than this. But, before you buy, especially "with plastic," ask yourself two questions: Do I need it? Can I afford it? (If you wouldn't lie to a friend, don't lie to yourself.)

*If it's 17% APR, must translate to daily periodic rate, and then calculate interest.



Adapted from Merging Two Worlds, 2003

Credit Card Basics

A credit card can be a very useful personal financial tool. It gives you some flexibility about when you make your purchases and when you pay for them. Plus, you get a single convenient listing of your charges once a month. Interested in getting a card? Here is some information to help you be an informed and responsible credit card customer.

What Are Credit Cards and How Do They Work?

A credit card essentially authorizes you to borrow money up to a certain limit. You borrow the money when you use your card to make purchases or take out cash advances. You can repay what you borrow right away or pay over a longer period of time.

If you repay what you owe over time, in most cases you will be charged interest on the unpaid balance. If you repay the entire debt within a specified time period, there are usually no interest charges.

Key Credit Card Terminology

What to Do When a Credit Card Is Lost or Stolen

If you lose your credit card, or realize it has been stolen, take these two steps:

- Immediately call the company that issued you the card. Most companies have toll-free numbers and 24-hour service to deal with such emergencies. Make a note of the person you speak to.
- It's a good idea to follow up your phone call with a letter to the card company. Include your account number, when you noticed your card was missing, and the date and time you first reported the lost card, and the name of the representative you spoke to.

Once you report the loss or theft to the bank, you have no further responsibility for unauthorized charges. If a thief uses the card before you report it missing, the most you would owe is $50.

Getting credit is one situation where reading the fine print can really pay off. Crucial information about interest rates, repayment terms, and conditions unique to the card should be included with the credit card application. You receive this information again when you receive your credit card. Plus, a summary may be printed on your monthly credit card statement.

Here's what to look for:

- **Annual percentage rate (APR):** The interest rate charged on unpaid debt stated as a yearly percentage rate. A single card may have multiple APRs. For example, purchases, cash advances, and balance transfers may all have different APRs. Also, a card may have an introductory APR that converts to a regular APR after a specific length of time.
- **Balance:** The total of what you owe.
- **Balance transfer:** When you pay off all or part of what you owe on one credit card by transferring the amount to another credit card.
- **Credit limit:** The maximum amount a credit card company will allow you to borrow on a single credit card at any one time. Sometimes called a "credit line."
- **Finance charge:** The cost of using the credit card, comprised of interest costs and other fees.
- **Grace period:** If you have paid off your previous balance on your card, this is the period of time you have to pay for purchases before interest charges apply. There is usually no grace period for cash advance or balance transfers.
- **Cash advance:** An on-the-spot cash loan charged to your card. Banks provide printed checks you can use for this purpose or you can use your card at an ATM. Cash advances may have fees, higher interest rates, and no grace period.
- **Balance transfer fee:** A charge for transferring the balance (or portion of a balance) from one credit card to another.
- **Annual fee:** Fee some cards charge once a year.
- **Other fees:** Charges associated with specific actions such paying late, getting a cash advance, exceeding your credit limit, or paying online or by phone.

Who Can Get a Credit Card?

When a bank considers whether to offer you a credit card, they try to evaluate the type of customer you will be, specifically: Are you likely to pay back what you owe on time? If you already have credit cards or loans, a credit card provider can learn more about how you've managed your accounts in the past by viewing your credit report and credit score. (Your credit report shows your repayment history and your credit score is a number that is calculated based on the information in your history.) Many credit card issuers believe that a person's past credit history serves as the best indicator of the type of borrower they will be in the future.

If you are a student applying for your first credit card, you probably don't have a credit history or credit score. Some banks that offer college students credit cards will waive the requirement to have a credit history and credit score. In some cases, they may look at other factors, such as a history of on-time payment of rent or utilities, your income, and your assets (savings and things you own, like a car). They will also look at your age because you must be 18 or 19 years old to obtain a credit card, depending upon the state you live in.

Although you might not have a credit history or credit score yet, you will begin to build one after you obtain your first credit card. The most popular credit scoring formula is called the FICO formula, produced by the Fair Isaac Corporation. It calculates credit scores based on the following five factors: payment history (on-time vs. late payments), amounts owed, length of your credit history, number of requests for your credit history, and mix of credit types, such as credit cards and installment loans (where you pay a fixed amount per month for a fixed term).

What to Consider When Choosing a Credit Card

- Think about how you will use the card. Will you pay the balance every month? Remember, charges can add up quickly — and so can interest and fees. Are you financing a longer-term debt? The size of the interest rate can make a big difference in how much you pay in the end.
- Compare the terms and conditions. Shop around for the plan that fits you. Make sure you read — and keep — the fine print.
- Find out if interest rates or other terms will change. Read through the credit card offer to see if charges such as annual fees and interest rates are subject to change at any point.
- Understand the difference between fixed and variable rates. Fixed means the interest rate will not change. Variable means the rate can increase or decrease based on changes in an underlying interest rate index.
- Consider customer service. Check whether the card provider offers customer services via telephone and internet. These services can include access to account information, online bill payment, ability to update personal information, and problem resolution. Be sure you understand any fees charged for these services.

Understanding Your Credit Card Statement

You will receive a billing statement from the bank each month. Look it over carefully. It lists details of your activity during the account billing cycle, such as purchases and payments. (The billing cycle is typically a one-month period.) The statement should also include information about the terms and conditions of your card, including how interest is calculated and where to call with billing questions.

Your statement contains a lot of information. Here's what to look for:

- Previous Balance. The amount you owed at the end of the previous billing cycle.
- New Balance. This is the amount you need to pay to avoid further finance charges. It represents the total of your previous balance, any new purchases, cash advances, and other transactions — minus any payments and credits.
- Account Activity. List of all transactions (purchases, cash advances, payments, credits, and fees) that occurred since your last statement.
- Minimum Payment Due. The smallest amount you must pay by the due date. If you make the minimum payment, you typically will be charged interest on your unpaid balance and all new charges until the entire debt is paid off. If you do not pay the minimum by the due date, you will likely be charged a late fee.
- Credit Available. The amount of credit remaining on your card after your balance and your current charges are subtracted from your total credit limit.
- Payment Due Date. The date your payment must be received.
- Finance Charge. The cost of using the credit card for that month, comprised of interest costs and other fees.

Check your statement each month to make sure all the information is accurate. Also check the payment due date, interest rate and credit limit, as these can change.

Paying Your Credit Card Bill

There are several things to consider when you make your credit card payments.

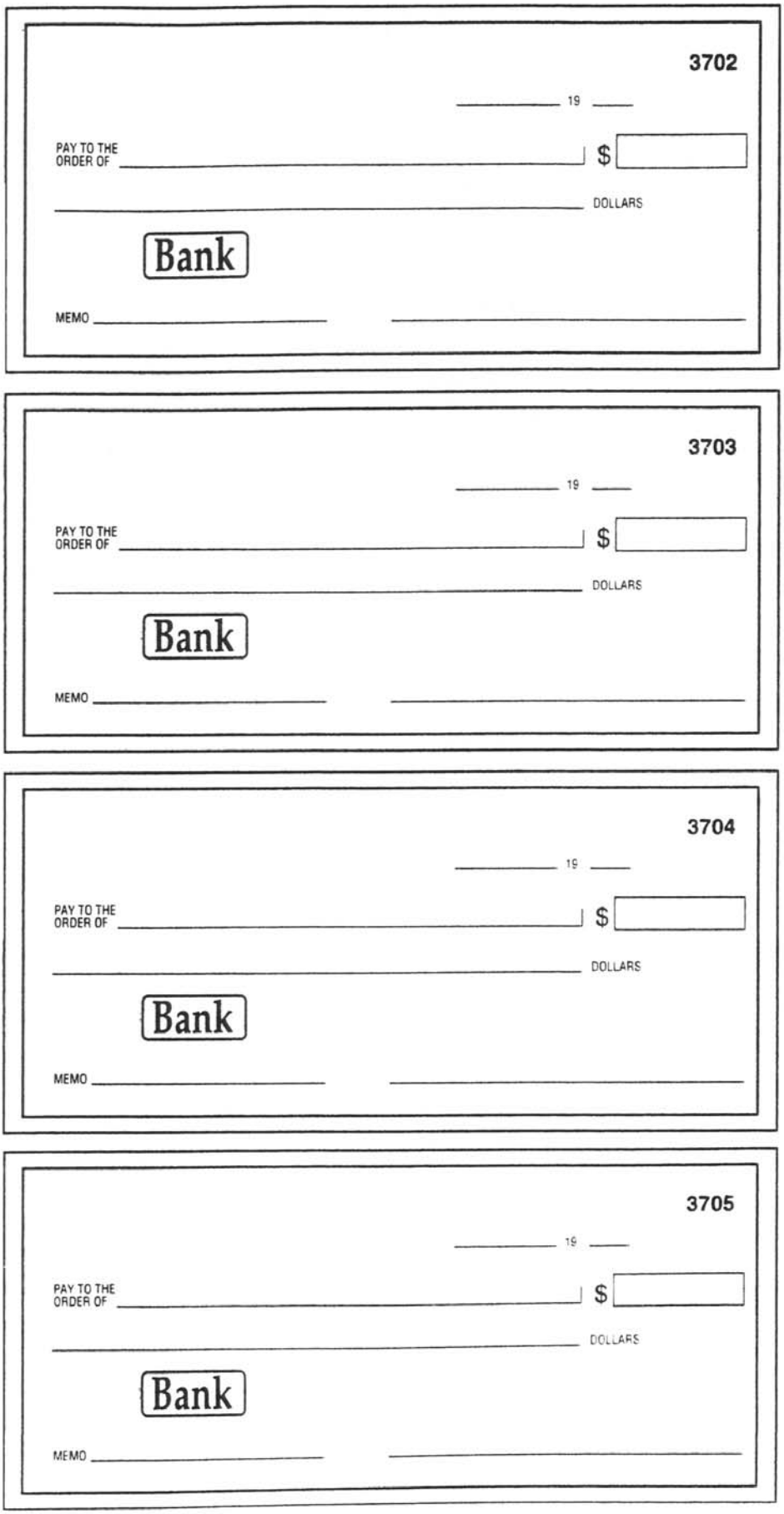
- **Your payment size.** You have to pay at least the minimum payment each month. You can pay this amount or a larger amount, or even pay off the whole balance. Keep in mind that you will be charged interest on the unpaid balance, and think about what makes the most sense for you.
- **Your credit limit.** It is important that you not go over this limit. If you do, you will likely be charged a fee.
- **On-time payment.** Know when your payment is due. If your payment is not received by the due date, you are likely to be charged a late fee. In addition, your interest rate may increase, and your account will be considered "past due" and may be reported as delinquent to the credit reporting agencies. If you mail your payment, send it at least a week ahead of the due date, just to be safe. If you pay online, check the payment cutoff time so you know which day your payment will be applied.
- **Method of payment.** Many credit cards allow you to pay by mail, phone, or online. Be sure you understand any fees charged for these options.

Getting Credit Smart

Opening your first credit card accounts can be exciting. Learning how to use them responsibly is essential. By taking the time to learn about how credit cards work, you are already on the right path to making smart choices about using credit.

From Money talks: A Consumer Guide for Boston Teens, Mayor's Youth Council

Sample Blank Checks



Sample Checkbook Register Exercise

When you have a checking account, you need to keep track of all of the deposits you make and all of the checks you write. Each book of checks comes with a checkbook register, which is like a little record book. You will use this register to keep track of the money in your checking account.

When you deposit money in your account, write down in the checkbook register:

- The date
- Where the money came from (for example: paycheck, birthday gift)
- How much money you deposited

Before you write a check or take money out of your account, write down in the checkbook register:

- The check number
- Who you're writing the check to
- The amount of money

Remember, every time that you add money to or take money from your account, you need to record the information in the checkbook register. Then:

- Add or subtract that amount of money from the previous balance to find out how much money is left in your account. This will be your current balance.

Sample Checkbook Register

Look at the sample checkbook register for three checks and other recent deposits and cash withdrawals made during the month of January 2005. Do you see that the shaded (gray) rows show your current balance at any given time? You use the white rows to record information about payments or deposits each day and then add or subtract them from your balance.

Check Number	Date	Description of Transaction	Payment/ Debit	Fee	Deposit/ Credit Amount	Balance	
	1-1-05	Deposit			470.50	470	50
		Paycheck (12/15-12/31)				1,215	72
	1-6-05	Cash	100.00			100	00
						1,115	72
101	1-12-05	Sears Dept. Store	75.00			75	00
		(Clothing)				1,040	72
102	1-22-05	Tower Records	85.72			85	72
		(CD player)				955	00
	1-23-05	Cash	75.00			75	00
						880	00
103	1-24-05	Cortez Apartments	510.00			510	00
		(Rent)				370	00

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Make a Promise with a Check

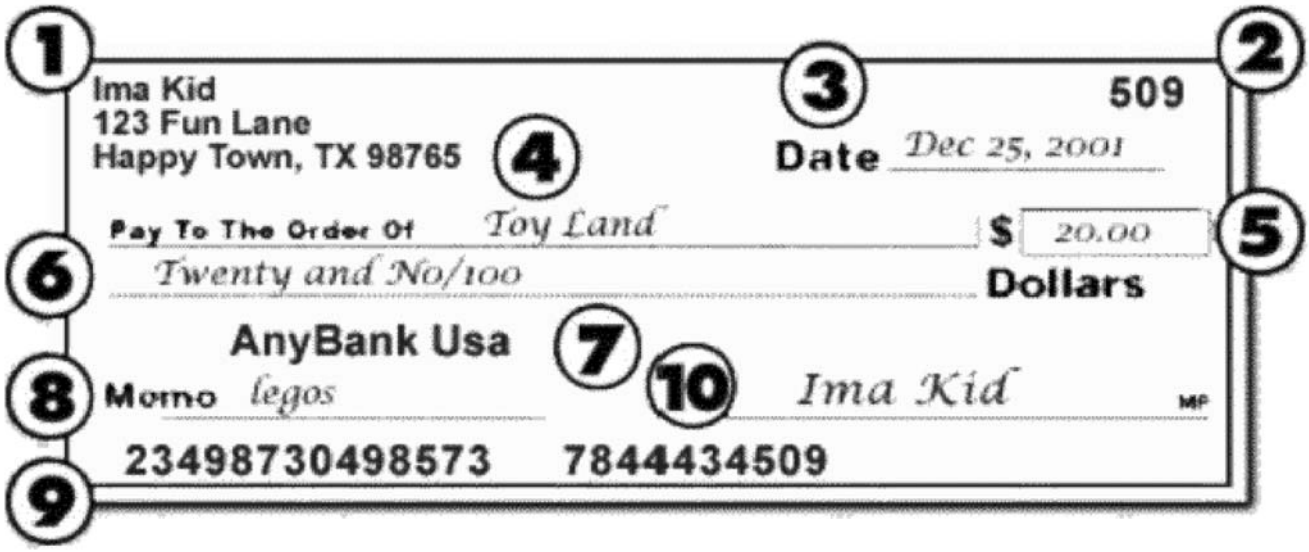
A **check** is a promise to pay someone money. When you get a check from someone, it means that they are promising to pay you. When someone gives you a check you take it to the bank. The bank knows that a check is a promise, and gives you the amount of money that's written on the check. When you give a check to someone, they take it to their bank. Their bank gives them the amount of money you promised to pay.

A **checking account** is money that you keep at the bank. You can open a checking account and deposit money just like you do with your savings account. When someone goes to the bank with a check that you've given them, the bank uses your money from your checking account to pay them.

You must always have enough money in your account to pay for the checks that you write. If you give someone a check, and the bank doesn't have any of your money to pay for it, you're breaking your promise. When you break your promise to pay, the bank will **bounce your check,** and charge your account a fee.

Bouncing a check means that the bank will not give any money to the person you gave the check to. You'll still owe money to the person you promised to pay, and they probably won't be too happy that you broke your promise.

You must be very careful when you write a check because a check represents your money. Below is a picture of a check with all of the different parts numbered along with an explanation of its functions.



1. Name & address: This is your name and address, and this tells the bank you're the person making the promise.
2. Check Number: This number helps you keep track of whom you paid. You use this number to make a list of all the checks you write.
3. Date: Write the date here. This tells the bank when you promised to pay this money. It also helps you remember when you paid someone.
4. Pay to the Order of: Write the name of the person you are promising. This is how the bank knows whom to pay.
5. Numeric Amount: Write how much money you are promising to pay. Write it in numbers, for example: $20.00. Write your numbers clearly, so that the bank teller knows exactly how much you've promised to pay.
6. Written Amount: Write out how much you are promising to pay. For example: twenty dollars. This is for safety, so that no one can change the amount of money you are promising to pay. When dealing with cents, the number is written as a fraction over one hundred or one dollar. For example, 20 cents would be written as 20/100.
7. Bank Name: This is the name of the bank where you keep your money.
8. Memo Section: Allows you to write a note about the purpose of the check.
9. Router Number: Allows banks to quickly transfer money from one institution to another.
10. Signature Line: Indicates that you promise to fulfill your obligation.

Adapted from the Illinois Department of Professional and Financial Regulation
www.idfpr.com/finlit101

Lesson 3: Budgeting

Topic OBJECTIVE: The learner will:

- Understand the meaning of a budget and explore ways to budget effectively

Topic OUTCOMES: The learner will:

- Have the skills and knowledge to discern between wants and needs when creating a budget
- Know and understand how to create a budget
- Explore ways to save money

Topic ACTIVITIES:

Large Group Discussion

Objective: Students will know how to distinguish between "wants" and "needs" when creating a budget.
Time: 45 minutes
Materials: Handout: **"Wants and Needs,"** chart paper/markers

Hand out **"Wants and Needs"** sheet. Ask students to discuss which items listed are needs vs. wants. On chart paper, write down a class generated list of what typically goes into a monthly budget. Have students contribute reasons why it is important to take care of needs first.

Writing/Reflection/Assessment

Objective: Students will practice creating monthly budgets and learn to use strategies to save money on their needs as well as on extras.
Time: 15 minutes
Materials: Handouts: **"Personal Budget"** and **"Stretch Your Budget,"** pens/pencils, calculators and/or computers (to use calculator function)

Hand out **"Personal Budget"** and **"Stretch A Budget"** handouts. Remind students of the list of possible monthly budget items they have generated. Ask them to make an estimated list of their monthly expenses, using the tool on the **"Personal Budget"** handout. Help students with estimation amounts. Next, on the **"Stretch Your Budget"** sheet, have students read the tips and add their own. As a group, share the budget tips, and supplement lists with other ideas (flea markets, freecycle, etc.).

Technical (Mass CIS)/Research

Objective: Students will explore how various occupations support different lifestyles.
Time: 30 minutes
Materials: Computers with internet connection, index cards with students **Mass CIS** log-in names and passwords, calculators, pens/pencils

Reality Check — Have students log on to the **Mass CIS** website **(www.masscis.intocareers.org).** Ask them to click on the **"Reality Check"** link in the lower left-hand corner. Explain this site will help them see realistically what different "lifestyles" will cost per month, and what occupations can cover those expenses. Students can also sort by occupation, and then see what type and amount of budget they would then have. Remind students that they should pay close attention to "hidden" costs such as taxes and fees in order to accurately estimate their monthly budgets.

Wants And Needs

What's the difference between a need and a want?

Are wants and needs the same for everyone? No, it depends on other factors.

Identify the following as a **want (W)** or a **need (N)**. This is your personal choice – there are no right or wrong answers.

____ car

____ telephone

____ cable TV

____ eat out once a week

____ go to the movies every week

____ buy new clothes every month

____ visit dentist regularly

____ vacation

____ contribute to savings account every payday

____ have a pet

____ regular doctor's visits

____ homeowner's or renter's insurance

____ other _____

____ other _____

Think About It:

1. List ways to reduce the amount of money that's spent on two of your needs.

2. How do values influence your wants and needs?

3. How are wants affected by your thoughts and feelings? How can this lead to trouble?

Adapted from Merging Two Worlds, 2003

Personal Budget

What Will I Do With My Money?

Being Independent Takes Money!
Someone has to pay for food, housing, clothing, health care and transportation.

I NEED A PLAN!
(This is called a budget.)

How much money will I need each month for:

- Rent $_____
- Food _____
- Clothing _____
- Utilities _____
- Recreation _____
- Transportation _____
- Health Care _____
- Other _____

TOTAL _____

$$$

No matter how much money you have, or are making, it seems like it's never enough. Here's some ideas…



HOW TO STRETCH YOUR BUDGET

FOOD

- ❖ *Buy only what you planned to buy, shopping only once a week, on a "Specials" Day.*
- ❖ *Don't shop when you're hungry!*
- ❖ *Use coupons – from the mail or newspaper ads.*

"I food shop now _____."

CLOTHING

- ❖ *Buy medium weights, for year-around wear, as well as versatile clothes (long sleeves can roll up).*
- ❖ *Check labels for washable clothes rather than dry-cleaning.*
- ❖ *Shop in discount stores. Try mail-order catalogues for comparison shopping.*
- ❖ *Look around – the same chain stores' prices vary in different locations.*
- ❖ *Try thrift shops, factory and irregular outlet shops.*
- ❖ *Adopt the attitude of gently-worn and/or hand-me-down clothing being OK.*
- ❖ *Pay cash – don't charge.*

"I get my clothing by _____."

ELECTRONICS/ APPLIANCES

- ❖ *Shop at garage and house sales.*
- ❖ *Search through newspaper ads for sale items.*
- ❖ *Find last season's, last year's or discontinued items.*

"When I need electronics or appliances, I _____."

TRANS-PORTATION

- ❖ *Walk or bicycle when able.*
- ❖ *Car pool or take public transportation.*
- ❖ *Organize errands to be in one area on the same day.*

"When I go places, I _____."

RECREATION OR LEISURE

- ❖ *Find free or inexpensive activities in the local newspapers.*
- ❖ *Borrow books/cassettes/CD's/videos from the public library.*
- ❖ *Go for a walk, use your park system.*
- ❖ *Visit a local museum.*

"When I want to relax/recreate, I _____."

OTHER WAYS TO STRETCH MY MONEY ARE:

- ❖ *(example) Trade, barter and/or share with friends and relatives.*

_____

_____

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